Catlin Re Switzerland Ltd

Zurich

Report of the statutory auditor
to the General Meeting

on the financial statements 2019

pwc

Report of the statutory auditor

to the General Meeting of Catlin Re Switzerland Ltd

Zurich

Report of the statutory auditor on the financial statements

As statutory auditor, we have audited the accompanying financial statements of Catlin Re Switzerland Ltd (the 'Company'), which comprise the income statement, balance sheet and notes, for the year ended 31 December 2019.

Board of Directors' responsibility

The Board of Directors is responsible for the preparation of the financial statements in accordance with the requirements of Swiss law and the Company's articles of incorporation. This responsibility includes designing, implementing and maintaining an internal control system relevant to the preparation of financial statements that are free from material misstatement, whether due to fraud or error. The Board of Directors is further responsible for selecting and applying appropriate accounting policies and making accounting estimates that are reasonable in the circumstances.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Swiss law and Swiss Auditing Standards. Those standards require that we plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers the internal control system relevant to the Company's preparation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control system. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made, as well as evaluating the overall presentation of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements for the year ended 31 December 2019 comply with Swiss law and the Company's articles of incorporation.

Report on other legal requirements

We confirm that we meet the legal requirements on licensing according to the Auditor Oversight Act (AOA) and independence (article 728 CO and article 11 AOA) and that there are no circumstances incompatible with our independence.

In accordance with article 728a paragraph 1 item 3 CO and Swiss Auditing Standard 890, we confirm that an internal control system exists which has been designed for the preparation of financial statements according to the instructions of the Board of Directors.

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PricewaterhouseCoopers AG is a member of the global PricewaterhouseCoopers network of firms, each of which is a separate and independent legal entity.

We further confirm that the proposed appropriation of available earnings complies with Swiss law and the Company's articles of incorporation. We recommend that the financial statements submitted to you be approved.

PricewaterhouseCoopers AG

Nebojsa Baratovic	Nicolas Juillerat
Audit expert Auditor in charge	Audit expert

Zürich, 23 April 2020

Enclosures:

- Financial statements (income statement, balance sheet and notes)
- Proposed appropriation of the available earnings

FINANCIAL STATEMENTS

INCOME STATEMENT

CHF millions	Notes	2018	2019
Reinsurance			
Gross premiums written		1,699.66	1,809.46
Reinsurance premiums ceded		(192.45)	(145.47)
Net premium written		**1,507.21**	**1,663.99**
Change in gross unearned premiums	1	(181.77)	(64.89)
Change in ceded unearned premiums	1	11.05	(49.13)
Net premium earned		**1,336.49**	**1,549.97**
Total income from reinsurance activities		**1,336.49**	**1,549.97**
Gross claims paid and claim adjustment expenses		(1,663.78)	(1,377.60)
Ceded claims paid and claim adjustment expenses		41.87	80.37
Net claims paid		**(1,621.91)**	**(1,297.23)**
Change in gross loss reserves and loss expenses	1	679.39	183.96
Change in ceded loss reserves and loss expenses	1	65.86	78.15
Net claims incurred		**(876.66)**	**(1,035.12)**
Gross acquisition costs and administration expenses	3	(578.06)	(613.98)
Ceded acquisition costs and administration expenses		52.44	48.36
Net acquisition costs		**(525.62)**	**(565.62)**
Total expenses from reinsurance activities		**(1,402.28)**	**(1,601.22)**
Net reinsurance result		**(65.79)**	**(51.25)**
Investments	2		
Investment income		121.06	165.85
Investment expenses		(98.13)	(32.53)
Net investment result		**22.93**	**133.32**
Interest Income		15.87	15.37
Interest expense		(2.00)	(1.45)
Operating result		**(28.99)**	**95.99**
Foreign exchange		1.88	(3.00)
(Loss)/income before tax		**(27.11)**	**92.99**
Direct taxes		(0.98)	(0.99)
Net (loss)/income		**(28.09)**	**92.00**

The accompanying notes form an integral part of the financial statements

FINANCIAL STATEMENTS

BALANCE SHEET

As of December 31

Assets

CHF millions	Notes	**2018**	**2019**
Investments			
Investment in affiliated companies	12	159.92	815.33
Fixed income securities		2,972.51	1,872.55
Equity securities		26.11	25.72
Other investments		86.98	0.77
Short term investments		*66.15*	*0.77*
Hedge funds Investments		—	—
Private equity Investments		*20.83*	—
Alternative investments		—	—
Total investments		**3,245.52**	**2,714.37**
Funds withheld	9	446.80	585.09
Cash and cash equivalents		133.64	260.36
Reinsurer's share in technical provisions	5	347.38	373.53
Deferred acquisition costs		438.64	469.63
Premiums and other receivables from reinsurance, net of bad debts	4	1,200.52	1,284.99
Other receivables		476.59	94.34
Other assets		0.82	0.95
Accrued income		19.47	10.50
Total assets		**6,309.38**	**5,793.76**

The accompanying notes form an integral part of the financial statements.

FINANCIAL STATEMENTS

BALANCE SHEET

As of December 31

Liabilities and shareholder's equity

CHF millions	Notes	2018	2019
Technical provisions	5		
Reserves for losses and loss expenses		3,077.08	2,845.11
Unearned premiums		1,399.20	1,459.84
Provision for profit commissions		5.48	93.84
Total technical provisions		**4,481.76**	**4,398.79**
Non-technical provisions			
Provision for taxation		0.23	1.44
Provision for currency fluctuation		127.42	109.37
Total non-technical provisions		**127.65**	**110.81**
Funds held under reinsurance treaties		51.23	32.36
Payables to reinsurance companies	6	458.54	348.00
Other liabilities		432.31	60.13
Accrued expenses		7.59	1.37
Total liabilities		**5,559.08**	**4,951.46**
Shareholder's equity			
Common stock		100.00	100.00
Legal capital reserves		633.24	633.24
Legal reserves from capital contribution		*883.24*	*633.24*
Dividends paid		*(250.00)*	*—*
Legal profit reserves		45.15	*45.15*
Retained earnings (losses)		—	(28.09)
Profit/(loss) for the financial year		(28.09)	92.00
Total shareholder's equity	7	**750.30**	**842.30**
Total liabilities and shareholder's equity		**6,309.38**	**5,793.76**

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

SIGNIFICANT ACCOUNTING PRINCIPLES

Basis of preparation

The financial statements of Catlin Re Switzerland Ltd ("Catlin Re" or the "Company"), domiciled in Zurich, Switzerland, are prepared in accordance with Swiss Company Law. The financial statements adhere to the requirements of Swiss Code of Obligations and to additional requirements defined by the Swiss Financial Market Supervisory Authority ("FINMA"), Art. 5-6a AVO-FINMA. The 2019 financial year comprises the accounting period from January 1 to December 31, 2019. The prior period was from January 1 to December 31, 2018.

Use of estimates in the preparation of annual accounts

The preparation of the annual accounts requires management to make significant estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses as well as the related disclosures. Actual results could differ significantly from the estimates.

Foreign currency translation

Foreign currency transactions incurred in each of the Company's business units are revalued into the functional currency using average exchange rates applicable to the period in which the transactions take place. Foreign exchange gains and losses resulting from the settlement of such transactions and from revaluation at the period end of monetary assets and liabilities denominated in foreign currencies are deemed realised exchange gains and losses and recorded in the income statement.

Each business unit with a functional currency different from the Company's statutory reporting currency Swiss Francs is translated as follows:

- Income and expenses at the monthly average rates of exchange;
- Assets and liabilities (including unearned premiums and deferred acquisition costs) at exchange rates prevailing at the balance sheet date; and
- Resulting unrealised exchange losses are either offset against the provision for currency fluctuation or recorded in the income statement. Unrealised exchange gains are deferred and recorded as a separate line item on the balance sheet.

All assets and liabilities arising from reinsurance contracts are treated as monetary items. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction.

Investments

To align with other AXA XL companies, Catlin Re has changed the valuation principle of fixed income and short-term securities as of January 1, 2019. Since then, these securities are rated with the Amortized-Cost-Scientific Method, instead of the Lower of Amortized Cost or Market Value approach. The impact of the accounting policy change is reflected in the unrealized gain in the respective footnote.

Short-term investments are composed of instruments with original maturities of more than 90 days and less than one year from the date of purchase.

The following assets are carried at cost less necessary and legally permissible depreciation:
- Investments in affiliated companies
- Equity Securities
- Other investments, such as
    - Hedge fund investments
    - Private equity investments
    - Alternative investments (art)

The valuation rules prescribed by FINMA are followed whereby all investments are valued individually.

Funds at Lloyd's

Business written in Lloyd's by Syndicate 2003 is supported by Funds at Lloyd's ("FAL"). Part of Catlin Re's investment portfolio was under the control of the Society of Lloyd's in support of Catlin Syndicate Limited's Lloyd's business. The amount of and compensation for providing FAL support is determined as part of the Intra-Group Reinsurance contract between Catlin Re and Catlin Syndicate Limited. As at the balance sheet date, all Intra-Group Reinsurance contracts were commuted and any remaining FAL assets correspondingly released.

Tangible assets

Tangible assets are carried at cost less individually scheduled straight-line depreciation over their useful lives. Items of minor value are not capitalised.

Funds withheld

Funds withheld are balances held by cedants in respect of open reinsurance contracts.

Reinsurer's share in technical provisions

Reinsurer's share in technical provisions include balances due from reinsurance companies for paid and unpaid losses and loss expenses that will be recovered from reinsurers, based on contracts in force.

The technical provisions pertaining to retroceded business are determined or estimated according to the contractual agreement and the underlying gross business data per treaty.

Deferred acquisition costs

Deferred acquisition costs principally consist of commissions and other external variable costs directly connected with the acquisition or renewal of existing reinsurance contracts. Deferred acquisition costs represent the proportion of commission incurred which corresponds to the element of the premium that is unearned on the related contracts. Deferred acquisition costs are capitalised in accordance with the business plan submitted to FINMA.

Other assets and other receivables

Other assets are carried at nominal value after deduction of known credit risks, and if applicable, less necessary and legally permissible depreciation.

Premiums and other receivables from reinsurance are carried at nominal value after deduction of known credit risks if applicable.

Technical provisions

The technical provisions are valued in accordance with the following principles:

A liability is established for unpaid losses and loss expenses when insured events occur. The liability is based on the expected ultimate cost of settling the claims. The reserves for losses and loss expenses include: (1) case reserves for known but unpaid claims as at the balance sheet date, including any potential deterioration on existing estimates; (2) incurred but not reported reserves ("IBNR") for claims where the insured event has occurred but has not been reported to Catlin Re as at the balance sheet date; and (3) loss adjustment expense reserves for the expected handling costs of settling the claims.

The estimation of the necessary claim reserves requires the use of informed estimates and judgements and as such are subject to considerable uncertainty. Reserves for losses and loss expenses are based on the analysis of the historical amounts reported by the ceding companies together with other relevant information. The methods and assumptions chosen follow generally accepted actuarial principles.

Contracts where coverage period relates to future periods are stated as unearned premiums and are calculated by statistical methods. The accrual of commission is determined correspondingly and is reported in the line item "Deferred acquisition costs".

Provisions for profit commissions are to cover instances where the commission is dependent on the claim experience of the contract, e.g. sliding scale or profit commission, so that an additional liability is due in excess of the commission already incurred or, in the case where the loss experience is worse than expected, a rebate of commission is due.

Non-technical provisions

Provision for taxation contains direct taxes for the financial year.

Provision for currency fluctuation comprises of unrealised foreign exchange gains from the translation of assets and liabilities from the business units functional currencies to the reporting currency Swiss Francs.

Funds held under reinsurance treaties

Funds held under reinsurance treaties mainly contain cash deposits withheld from retrocessionaires, which are stated at redemption value.

Payables to reinsurance companies

Payables to reinsurance companies are held at redemption value.

Interest income

Other interest income is mainly comprised of interest earned on funds withheld.

Operating costs

Administration and other expenses are disclosed within the Gross acquisition costs and administration expenses line item. Unallocated loss adjustment expenses are included within the Gross claims paid and claim adjustment expenses line item.

Direct taxes

Direct taxes relate to the financial year and include income and capital taxes.

FINANCIAL STATEMENT NOTES

Note 1: Change in technical provisions

CHF millions			2019
	Gross	**Ceded**	**Net**
Change in unearned premiums	(64.89)	(49.13)	(114.02)
Change in reserves for losses and loss expenses	183.96	78.15	262.11
Total change in technical provisions	**119.07**	**29.02**	**148.09**

CHF millions			2018
	Gross	**Ceded**	**Net**
Change in unearned premiums	(181.77)	11.05	(170.72)
Change in reserves for losses and loss expenses	679.39	65.86	745.25
Total change in technical provisions	**497.62**	**76.91**	**574.53**

Note 2: Net investment result

CHF millions				2019
	Income	**Unrealised gains**	**Realised gains**	**Total**
Investments in affiliated companies	0.01	—	6.40	**6.40**
Fixed income securities	78.31	53.33	20.71	**152.35**
Equity securities	—	—	—	**—**
Other investments	—	0.01	6.80	**6.81**
Hedge fund investments	—	—	—	**—**
Private equity investments	—	—	*5.46*	***5.46***
Alternative investments	—	—	—	**—**
Short term investments	—	*0.01*	*1.34*	***1.35***
Cash and cash equivalents	0.27	0.02	—	**0.29**
Total investment income	**78.59**	**53.36**	**33.91**	**165.85**

To align with other AXA XL companies, Catlin Re has changed the valuation principle of fixed income and short-term securities. In 2019, the methodology was changed to rate these securities with the Amortized-Cost-Scientific Method, instead of the Lower of Amortized Cost or Market Value approach. The impact of this accounting policy change amounts to CHF 52.95m and is reflected in the above note in the unrealized gains column.

CHF millions	Unrealised losses	Realised losses	Total
Investments in affiliated companies	—	—	**—**
Fixed income securities	(4.07)	(20.18)	**(24.25)**
Equity securities	—	—	**—**
Other investments	—	(0.01)	**(0.01)**
Hedge fund investments	—	—	**—**
Private equity investments	—	—	**—**
Alternative investments	—	—	**—**
Short term investments	—	*(0.01)*	***(0.01)***
Cash and cash equivalents	—	—	**—**
Investment management fees	—	—	**(8.27)**
Total investment expenses	**(4.07)**	**(20.20)**	**(32.54)**

CHF millions				**2018**
	Income	**Unrealised gains**	**Realised gains**	**Total**
Investments in affiliated companies	5.30	—	—	**5.30**
Fixed income securities	105.13	0.66	2.83	**108.62**
Equity securities	—	—	—	**—**
Other investments	0.58	0.02	6.01	**6.61**
Short term investments	*0.58*	*0.02*	*2.24*	***2.84***
Hedge fund investments	—	—	*3.52*	***3.52***
Private equity investments	—	—	—	**—**
Alternative investments	—	—	*0.25*	***0.25***
Cash and cash equivalents	0.47	—	0.06	**0.53**
Total investment income	**111.48**	**0.68**	**8.90**	**121.06**

CHF millions	Unrealised losses	Realised losses	Total
Investments in affiliated companies	(4.83)	—	**(4.83)**
Fixed income securities	(49.50)	(25.15)	**(74.64)**
Equity securities	(0.60)	—	**(0.60)**
Other investments	(0.35)	(6.62)	**(6.97)**
Short term investments	*(0.35)*	*(0.10)*	***(0.45)***
Hedge fund investments	—	—	**—**
Private equity investments	—	—	**—**
Alternative investments	—	*(6.52)*	***(6.52)***
Cash and cash equivalents	—	—	**—**
Investment management fees	—	—	**(11.08)**
Total investment expenses	**(55.28)**	**(31.77)**	**(98.12)**

Note 3: Administration and other expenses

Administration and other expenses, included in Gross acquisition costs and administration expenses amounted to CHF CHF 48.12m in 2019 (2018: CHF 73.27m), thereof CHF 0.27m (2018: CHF 0.31m) are related to audit fees.

Note 4: Premiums and other receivables from reinsurance

CHF millions	2018	2019
Receivables from agents and brokers	1,144.31	1,171.13
Receivables from reinsurance companies	56.21	113.86
Total premiums and other receivables from reinsurance	**1,200.52**	**1,284.99**

The Company does not write direct business with policyholders. Most business is generated through agents and brokers.

Note 5: Net technical provisions

CHF millions			2018			2019
	Gross	Ceded	Net	Gross	Ceded	Net
Reserves for losses and loss expenses	3,077.08	(264.86)	2,812.22	2,845.11	(336.87)	2,508.24
Unearned premiums	1,399.20	(82.52)	1,316.68	1,459.84	(36.66)	1,423.18
Provisions for profit commissions	5.48	—	5.48	93.84	—	93.84
Total net technical provisions	**4,481.76**	**(347.38)**	**4,134.38**	**4,398.79**	**(373.53)**	**4,025.26**

Reserves for losses and loss expenses have decreased from CHF 2,812m to CHF 2,508m mainly due to the cancellation of the internal US based quota share agreements at the end of 2017 and corresponding claims settlements throughout 2018 and 2019. Unearned premiums increased in line with gross premium written.

Note 6: Payables from reinsurance business

CHF millions	2018	2019
Payables to agents and brokers	165.51	22.26
Payables to reinsurance companies	293.03	325.75
Total payables to reinsurance companies	**458.54**	**348.01**

Note 7: Shareholder's equity rollforward

CHF millions	Common Stock	Legal reserves from capital contribution	Legal profit reserves	Profit/(loss) for the financial year	Retained earnings (losses)	Total
as of 1 January 2019	**100.00**	**633.24**	**45.15**	**(28.09)**	**—**	**750.30**
Allocation of 2018 loss to retained earnings (losses)				28.09	(28.09)	—
Profit/(loss) for the financial year				92.00	—	92.00
as of 31 December 2019	**100.00**	**633.24**	**45.15**	**92.00**	**(28.09)**	**842.30**

Share capital of the Company amounts to CHF 100m that is fully paid-in. It is divided into ten million registered shares with a nominal value of ten Swiss Francs per share.

Note 8: Contingent liabilities

The Company was committed to an operating lease agreement until September 30, 2019, as a lessee of office space. The office was sublet between 2017 and the end of the lease. As per the balance sheet date, the Company is no longer exposed to any further non-cancellable future obligations.

Catlin Re belongs to the VAT group of AXA Versicherungen AG, Winterthur, and is jointly liable for any VAT claims from the tax authorities.

The Company has access to unsecured and secured letter of credit facilities to support its reinsurance business. As at December 31, 2019, unsecured irrevocable letters of credit in the amount of CHF 73m (2018: CHF 44m) have been issued under these facilities. Letters of credit are predominantly used to secure the reserves ceded to the Company under certain reinsurance contracts.

Note 9: Funds withheld

Funds withheld of CHF 585m (2018: CHF 447m) represent deposits held by cedants. The increase in external funds withheld is mainly driven by an increased signed line on a large corporate quota share contract.

Note 10: Restricted assets

In certain markets, the Company is required to maintain assets in accounts pledged for the benefit of ceding companies. These requirements are generally promulgated in the statutory regulations of the individual jurisdictions.

The Company also has investments in segregated portfolios to provide collateral for certain bank letters of credit issued for the benefit of ceding companies.

In connection with the Intra-Group Reinsurance of the Syndicate business, the Company also provided Funds at Lloyd's in support of Catlin Syndicate Limited's business at Lloyd's, this amount being fully released during 2019. In connection with the terminated US Intra-Group Reinsurance business, the Company has investments held in portfolios to fulfill Reg 114 Trust fund requirements.

The total value of these restricted assets by category as at December 31, 2019 and 2018 are as follows:

CHF millions	**2018**	**2019**
Fixed income securities	2,035.09	1,467.52
Short term investments	66.15	0.77
Cash and cash equivalents	27.84	86.69
Accrued income and other receivables	11.34	7.30
Total restricted assets	**2,140.42**	**1,562.28**

Note 11: Claims on and obligations towards AXA XL Group companies

CHF millions	**2018**	**2019**
Assets		
Premiums and other receivables from reinsurance	11.73	42.41
Other receivables	351.01	93.99
Liabilities		
Payables to reinsurance companies	231.06	238.36
Other liabilities	328.99	63.89

Note 12: Investments in affiliated companies

CHF millions				2019
	City, Country	**Net Book value**	**Equity interest**	**Voting Shares**
Seaview Re Holdings Inc	Delaware, USA	666.70	100%	100%
XL Resseguros Brasil S.A.	Sao Paulo, Brasil	86.62	100%	100%
XL Re Latin America Argentina SA	Buenos Aires, Argentina	—	80%	80%
XL Value Offshore LLC	Hamilton, Bermuda	62.00	25%	25%
Total investments in affiliated companies		**815.33**		

CHF millions				2018
	City, Country	**Net book value**	**Equity interest**	**Voting shares**
XL Resseguros Brasil S.A.	Sao Paulo, Brasil	86.62	100%	100%
XL Investments Latin America Ltd, in liquidation	Hamilton, Bermuda	—	100%	100%
XL Re Latin America Argentina SA	Buenos Aires, Argentina	—	80%	80%
Catlin US Investment Holdings LLC	Wilmington, USA	11.29	15%	40%
XL Value Offshore LLC	Hamilton, Bermuda	62.00	25%	25%
Total investments in affiliated companies		**159.92**		

In early 2019 USD 475m (CHF 473m) was contributed from Catlin Re to Seaview Holdings by way of assets transfer. During December 2019 Catlin Re contributed a further USD 200m (CHF 194m) retaining 100% ownership in Seaview Holdings. In late 2019 Catlin US Investment Holdings LLC was sold to another AXA XL company whilst XL Investments Latin America Ltd was merged with another AXA XL company.

Note 13: Staff

The average number of full time equivalents employed by the Company for 2019 and 2018 is more than 10 but less than 50.

Note 14: Subsequent events

Since December 2019, a significant number of cases associated with the Coronavirus, now called COVID-19 by the World Health Organization ("WHO"), have been reported worldwide. Initially reported in the province of Hubei in the People's Republic of China, it has spread across all countries, resulting in reported infections and deaths, new cases and fatalities are reported daily. Furthermore, it is currently not possible to know or predict the extent to which the current levels of reported cases reflect the actual transmission of the virus within populations, and accordingly the scale of the pandemic may be significantly larger than what is presently recorded. The spread of COVID-19 has resulted globally in governmental authorities imposing quarantines and travel restrictions of varying scope; led to significant disruptions in the global travel and hospitality industries, and in global trade and supply chains more broadly; resulted in decreased economic activity and lowered estimates for future economic growth; created severe strains on local, national and supra-national medical and healthcare systems and institutions; and caused global financial markets to experience significant volatility and the worst downturn since the 2008 financial crisis.

CRCH together with the AXA Group has or is in the process of establishing plans to address how it will manage the effects of the outbreak, and assess disruptions and other risks to its operations. These include the protection of employees, sustaining services to clients and other stakeholders and ensuring effective processes are in place to communicate and execute such plans. CRCH is closely monitoring its exposure, including (i) the operational impact on its business, (ii) the consequences of a deterioration in macroeconomic conditions or of a slowdown in the flow of people, goods and services, especially on new business volumes, (iii) the extent of insurance coverage impacted and (iv) change in asset prices and financial conditions (including interest rates).

The Company's statutory P&L losses from COVID-19 to date are expected to be mainly around first estimates on insured losses. Investment results are seeing some unrealized losses from global equities in XL Value Offshore LLC. Results from Fixed income portfolios are deemed not significant with unrealized gains due to interest rate reductions, that' can't be recognized under Swiss Stat unless sold. More significant impacts are expected to be seen in the market consistent balance sheet, mainly around the volatility of interest rates and, as a consequence, reduced yields on risk free assets used to discount technical provisions.

CRCH's vast majority of invested assets are liquid and the investment portfolios are positioned to cover anticipated claims payments and operating expenses for at least the next twelve months.

Information in this section should be read in conjunction with the paragraph “Pricing and Underwriting-related risks” in Section 4.1 “Risk Factors” of the 2019 AXA Group Universal Registration Document.

There have been no other further material events between December 31, 2019 and the date of this report which are required to be disclosed.

APPROPRIATION OF EARNINGS

The Board of Directors will propose at the Annual Shareholder Meeting to be held in Zurich on June 19, 2020 to allocate the profit of the financial year of CHF 92.00m to retained earnings:

CHF millions	**2018**	**2019**
Retained earnings (losses) brought forward	—	(28.09)
Profit/(loss) for the financial year	(28.09)	92.00
Retained earnings (losses) after allocation	**(28.09)**	**63.91**